HOW TO COME OUT A WINNER



By **GAURAV VANGAAL**
Associate Director, Indian subcontinent, S&P Global Mobility

- **For automotive manufacturers, execution of the India-US bilateral treaty will be crucial for exploring better opportunities of exporting to the US**
- **India has a big opportunity to look closely at the "China plus one" window. India has been more accommodating in its policy, and has not reciprocated to the tariff hikes**
- **There should be more government-to-government talks, that too in a speedy manner, to ensure that India taps the right opportunities in the changed scenario**



BHEL plant at Haridwar

- **Half of the engineering exports from India come from the MSME sector. The government should support the sector in multiple ways. For instance, India should reintroduce the interest subvention scheme. MSMEs also need handholding to showcase their products in hitherto unexplored markets**

GEMS & JEWELLERY

DIMINISHED SHEEN

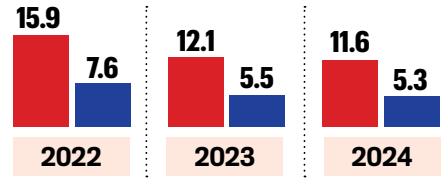
The United States is the largest market for Indian gems and jewellery, accounting for 30–35 per cent of the sector's exports—particularly gold-studded jewellery and loose diamonds. In 2024, bilateral trade in this segment totalled $16.9 billion (Rs 1.46 lakh crore), with India enjoying a trade surplus of $6.3 billion (Rs 54,300 crore). But the industry has faced headwinds in recent years due to geopolitical tensions, rising gold prices and intensifying competition from other exporting nations.

THE IMPACT

Against this backdrop, Trump's reciprocal tariffs emerge as a serious threat. They could potentially wipe out up to 50 per cent of India's jewellery exports to the US—valued at $1.5–2 billion (Rs 13,000–17,250 crore)—as well as $2.5–3 billion (Rs 21,500–25,900 crore) worth of cut and polished diamond exports, according to Kirit Bhansali, chairperson, Gem & Jewellery Export Promotion Council (GJEPC). That's because high tariffs on Indian goods will prompt US importers to shift to countries such as France, Italy and Switzerland for jewellery, and the UAE and Israel for diamonds—markets that benefit from lower duties. Even nations like Jordan and South Korea, which have free trade agreements with the US, are becoming more attractive. "This could lead to substantial job losses," warns Bhansali, "in such a labour-intensive sector." ■

SIZE OF TRADE

Accounting for a third of India's gem and jewellery exports, the US faces a $6.3 billion trade deficit in the sector



India's exports to the US ($ bn)
India's imports from the US ($ bn)

Source: GJEPC; figures include consignment exports and reimports

TARIFF WAR

Earlier
3.17%
8.7%

Now
29.17%*
Unchanged

US India
(Average tariff)
**Paused for 90 days*

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By **KIRIT BHANSALI,** *Chairperson, Gem & Jewellery Export Promotion Council*

- **The US is a major producer and refiner of gold. India could align with its interests by reducing tariffs on precious metals like gold, silver, platinum, etc. by 1–2%**
- **With India importing 500–600 tonnes of gold annually, mainly from Switzerland, shifting some of this trade to the US could offset the bilateral trade imbalance**
- **The US imports $4 billion (Rs 34,500 cr.) worth of loose diamonds from India annually. Considering them as raw materials for jewellery, India may consider halving the duties to 2.5% for exports to the US**